MICROSOFT INVESTOR RELATIONS

First Quarter FY22 Results

Strong Start to the Fiscal Year — Microsoft Cloud Strength Drives First Quarter Results

— October 26, 2021



ILLUSTRATIVE

EXECUTIVE SUMMARY

A Strong Start: Q1 FY22 Top-Line Results

Quarter ended September 30, 2021 vs. the same quarter last fiscal year

Revenue

$45.3B

▲ 22% YoY

Operating income

$20.2B

▲ 27% YoY

Net income

GAAP	NON-GAAP
$20.5B	**$17.2B**
▲ 48%	▲ 24%

Diluted EPS

GAAP	NON-GAAP
$2.71	**$2.27**
▲ 49%	▲ 25%

ONE-TIME ITEM GAAP net income and diluted EPS include a **$3.3B one-time net income tax benefit** — detailed later in this deck. The non-GAAP figures exclude it. Growth rates quoted as reported.

MANAGEMENT COMMENTARY

The Strategy Behind the Quarter

In their own words

> Digital technology is a deflationary force in an inflationary economy. Businesses — small and large — can improve productivity and the affordability of their products and services by building **tech intensity**. The Microsoft Cloud delivers the end-to-end platforms and tools organizations need to navigate this time of transition and change.

Satya Nadella

Chairman & Chief Executive Officer

$20.7B

▲ 36% year over year

Microsoft Cloud revenue this quarter

> We delivered a strong start to the fiscal year with our Microsoft Cloud generating $20.7 billion in revenue for the quarter, up 36% year over year.

Amy Hood

Executive Vice President & Chief Financial Officer

Management-commentary metric — not a separately reported segment line.

MICROSOFT CLOUD REVENUE

$20.7B

up 36% year over year

This is the Microsoft Cloud figure CFO Amy Hood cited on the earnings call — the metric behind the release title, **"Microsoft Cloud Strength Drives First Quarter Results."**

READ CAREFULLY A management-commentary figure, not a separate reconciled segment line.

INCOME STATEMENT HIGHLIGHTS

The Numbers, GAAP vs Non-GAAP

Three months ended September 30 — 2021 vs 2020 ($ in millions, except per-share)

Line item	2020 Prior year	2021 GAAP	2021 Non-GAAP
Revenue	$37,154	**$45,317** +22%	$45,317 = GAAP
Operating income	$15,876	**$20,238** +27%	$20,238 = GAAP
Net income $ in millions	$13,893	**$20,505** +48%	**$17,214** +24%
Diluted EPS per share	$1.82	**$2.71** +49%	**$2.27** +25%

ONE-TIME BRIDGE

Net income tax benefit — transfer of intangible properties, deducted to reach non-GAAP: **Net income −$3,291** · **Diluted EPS −$0.44**

HOW TO READ THIS

Revenue and operating income are **unchanged** — GAAP equals non-GAAP.

The gap appears **only** in net income and EPS, driven by a **one-time tax benefit**.

- GAAP, as reported
- Non-GAAP, as adjusted

As reported in Microsoft's Q1 FY22 results (Oct 26, 2021). % change year-over-year, as disclosed.

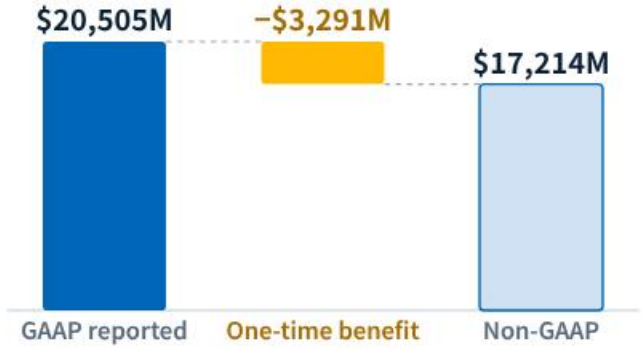
HOW TO READ THE NUMBERS

The One-Time $3.3 Billion Tax Benefit

Why GAAP net income rose faster than non-GAAP — and why that's a one-time effect

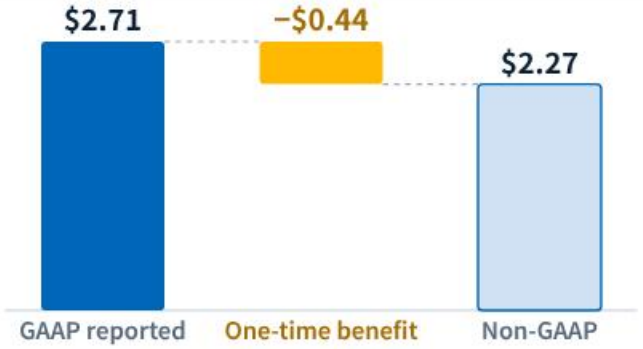
Net income

$ in millions



Diluted EPS

per share



ONE-TIME ITEM

A Puerto Rico → U.S. intangible-property transfer produced a **$3.3 billion** net tax benefit. Non-GAAP removes it so you can compare the underlying business.

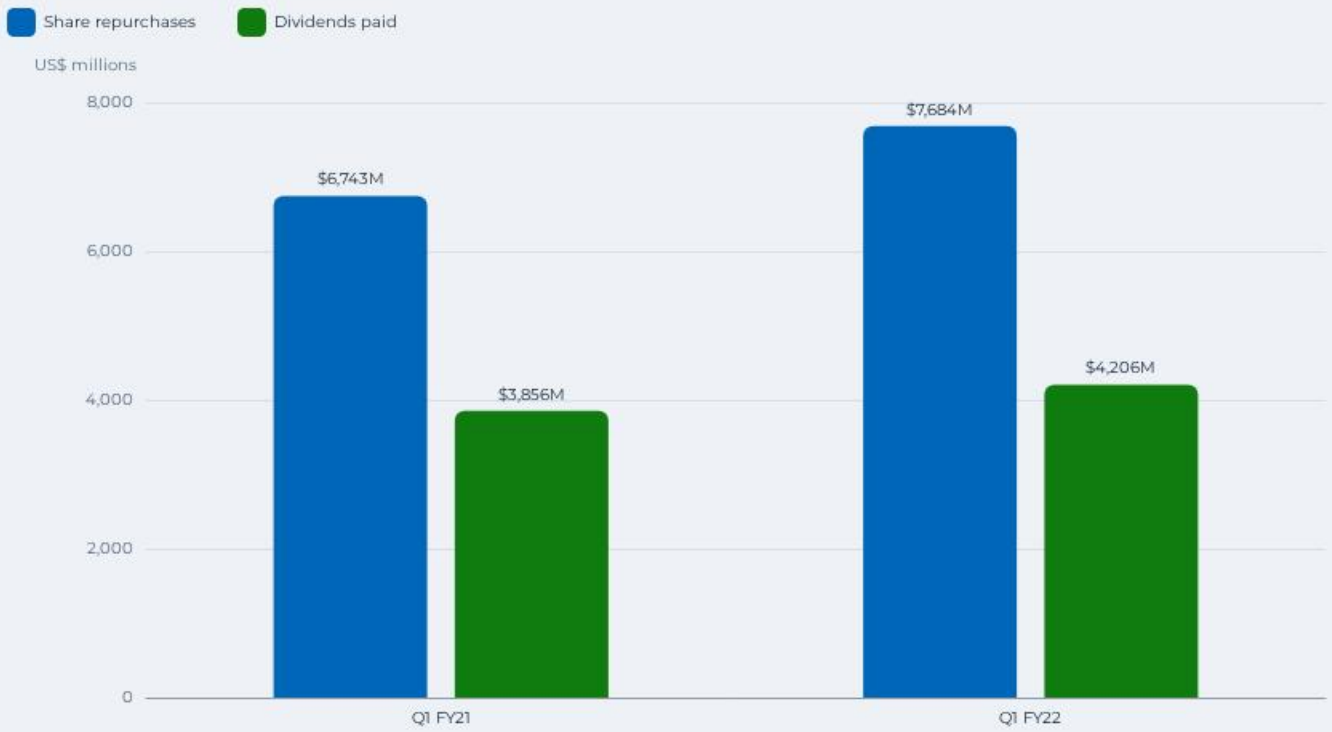
Year-over-year growth

	GAAP	Non-GAAP
Net income	+48%	+24%
Diluted EPS	+49%	+25%

CAPITAL ALLOCATION

$10.9 Billion Returned to Shareholders

Share repurchases and dividends, up 14% vs the same quarter last year



Cash paid for common stock repurchases and dividends, three months ended September 30 • US$ millions

+14%

More returned than in Q1 FY21

Share repurchases	**$7,684M**
Dividends paid	**$4,206M**

Reported: **$10.9B** returned to shareholders — the value of repurchases and dividends. The chart shows cash paid per the cash-flow statement, a related but distinct measure.

Derived from the condensed cash-flow statement (Material p.2, p.11)

THREE REPORTING SEGMENTS

01 **Productivity & Business Processes**
Office • Microsoft 365 • LinkedIn • Dynamics

02 **Intelligent Cloud**
Azure • Server products • Enterprise Services

03 **More Personal Computing**
Windows • Devices • Gaming • Search

SECTION 01

01 Business Segment Performance

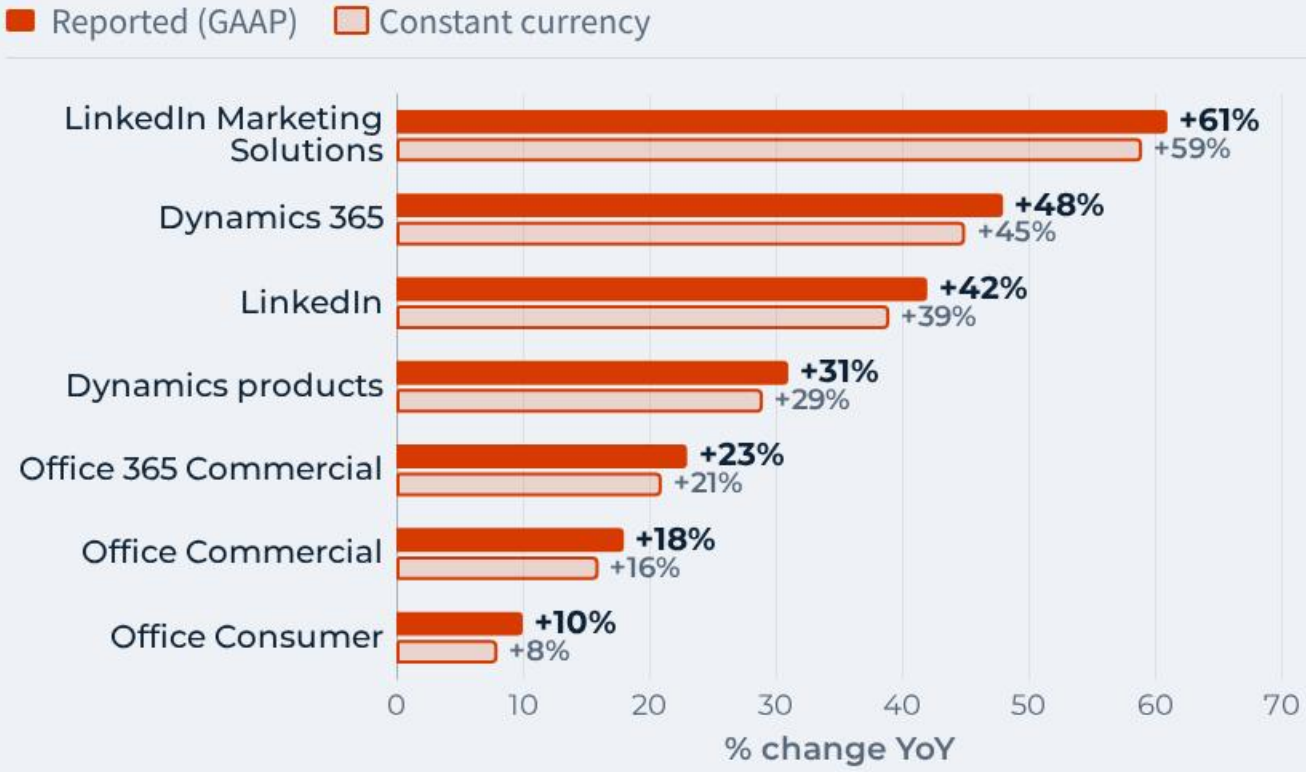
Three reporting segments, quarter ended September 30, 2021

SEGMENT 1 OF 3

Productivity and Business Processes

$15.0 billion revenue, up 22% (up 20% in constant currency)

Product-level revenue growth, year over year



SEGMENT REVENUE

$15.0B

+22% reported

+20% constant currency

Fastest growers this quarter

+61% LinkedIn Marketing Solutions

+48% Dynamics 365

+42% LinkedIn

54.1M Microsoft 365 Consumer subscribers

SEGMENT 2 OF 3

Intelligent Cloud

$17.0 billion revenue, up 31% (up 29% in constant currency)

INTELLIGENT CLOUD

$17.0B

Total segment revenue

+31%

+29% in constant currency

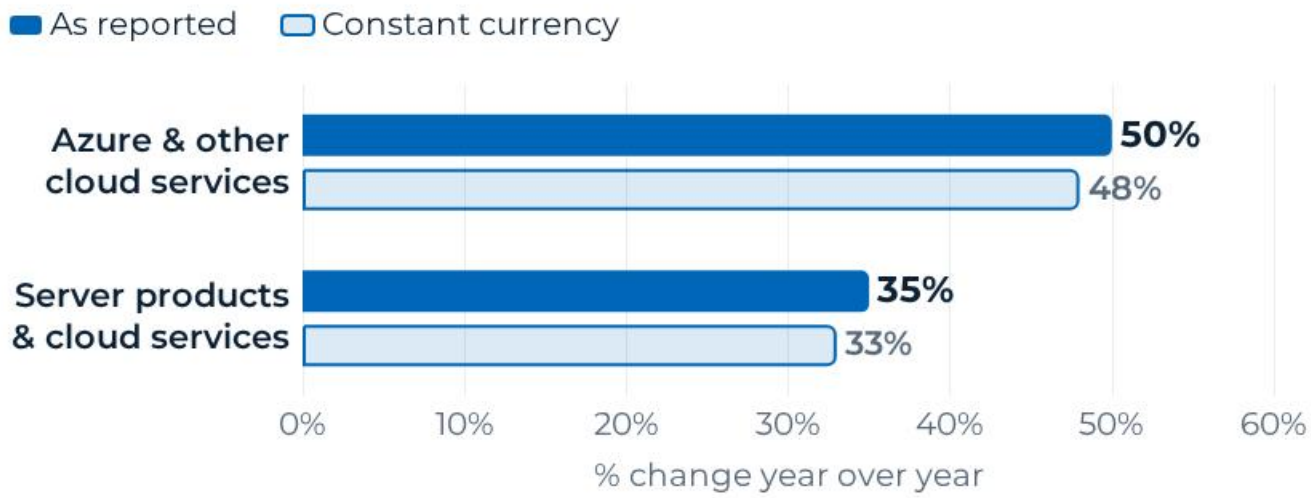
Product growth compared as reported versus constant currency.

Microsoft FY22 Q1 press release, pp. 2 & 5

+50%

Azure and other cloud services

+48% in constant currency — the segment standout

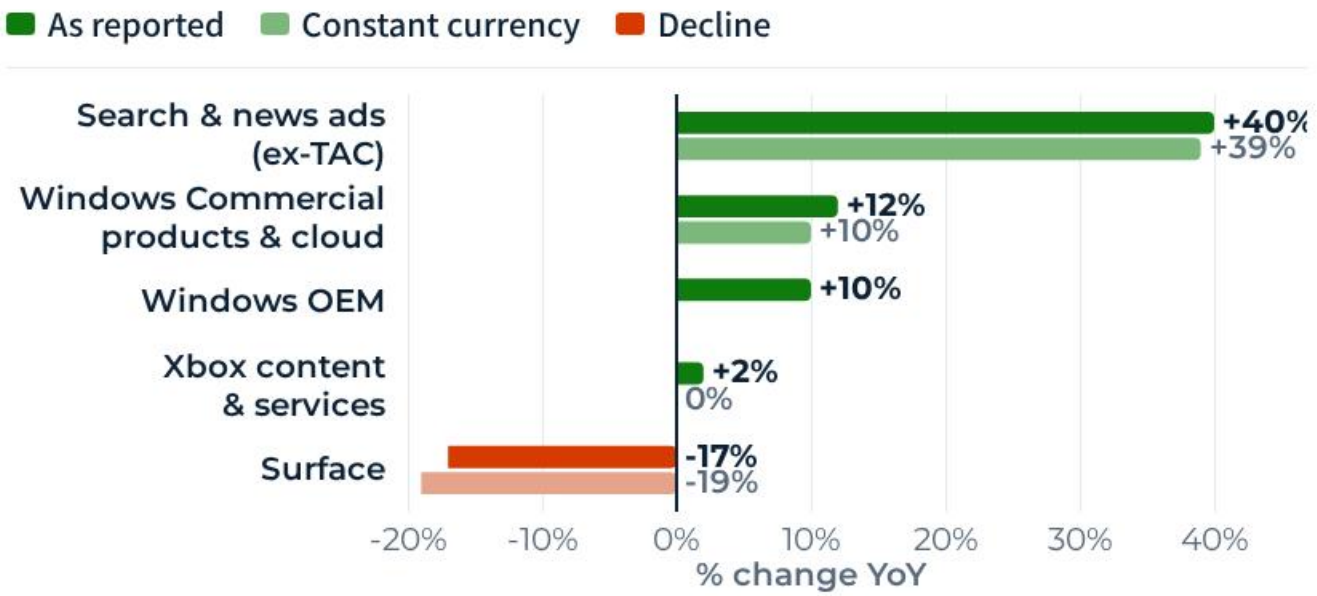


SEGMENT 3 OF 3

More Personal Computing

$13.3 billion revenue, up 12% (up 11% in constant currency)

Product-line revenue growth • % change year over year



Microsoft FY22 Q1 press release • exact reported values (p.2, p.5)

SEGMENT REVENUE

$13.3B

+12% up 11% constant currency

- **Windows OEM** reported at **+10%** (as reported only).
- **Xbox content & services** up **2%** — relatively unchanged, flat in constant currency.
- **Surface** the one line below zero, down **17%** (down 19% cc).

SEGMENT SCORECARD

The Three Segments Side by Side

Revenue and operating income, 2021 vs 2020 ($ in millions)



All three segments grew revenue. **Intelligent Cloud** was the largest and grew fastest.

Intelligent Cloud	+31%
Productivity & Business Processes	+22%
More Personal Computing	+12%

$45,317
Total revenue

$20,238
Total operating income

Material p.5, p.12

INNOVATION & R&D

Built on Years of R&D Investment

Hundreds of product releases each quarter, backed by rising R&D spend

Every quarter, Microsoft delivers hundreds of products — new releases, services, and enhancements.

These releases are a result of significant research and development investments, made over multiple years, designed to help customers be more productive and secure and to deliver differentiated value across the cloud and the edge.



Environmental, Social, and Governance

Focused where Microsoft can have the most positive impact



To better execute Microsoft's mission, we focus our ESG efforts where we can have the most positive impact.

For the latest initiatives and priorities, see the **Microsoft investor relations ESG website**.

AS STATED IN THE Q1 FY22 RELEASE

FORWARD-LOOKING STATEMENTS

Reading This Quarter Responsibly

Guidance is provided on the earnings call; results may differ due to standard risks

01

Guidance is provided on the earnings call

Microsoft gives its forward-looking business outlook on the earnings conference call and webcast — this release quotes no future figures.

02

These are forward-looking statements

They rest on current expectations and are subject to standard risks — competition, cybersecurity, and supply or quality among them. Actual results could differ materially.

03

All information is as of September 30, 2021

The company undertakes no duty to update these statements after that date.

A QUIET REMINDER

No forward-looking figures appear in this release.

Read every number here as reported for the quarter — not as a target for the periods ahead.

INFORMATION AS OF

September 30, 2021

ILLUSTRATIVE

EARNINGS CALL & CONTACTS

Full Guidance on the Earnings Call

Webcast, replay, and investor-relations contacts

WEBCAST & CALL

2:30 p.m. Pacific • 5:30 p.m. Eastern, today

microsoft.com/en-us/investor

REPLAY

Available through close of business, October 26, 2022

INVESTOR RELATIONS

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